

Manufacturer Merit — how it works

Read this alongside the console. Nothing here changes anything on its own — the engine only affects real badges and fees when you switch it to Live.

What the engine does

It judges each manufacturer on more than one rating and turns that into a **badge** (Verified → Trusted → Premier). The badge sets the platform's production fee — a higher badge means a lower fee. Everyone starts at Verified and the standard fee and earns up. The platform never publishes a 'bad' label; compliance issues are handled elsewhere.

The four pillars

Standing is a weighted blend of **Craft** (quality — ratings + low defect rate), **Reliability** (on-time acceptance + delivery), **Contribution** (volume + live products), and **Standing** (tenure + clean record). You set the weights (must sum to 100), the score gates for Trusted/Premier, and the evidence gates. Ratings are Bayesian-smoothed and ops signals are rate-based, so a small shop with two reviews isn't judged like one with two hundred, and volume never counts against anyone.

Shadow vs. Live — the switch that matters

The **Merit engine** card is the whole safety model. In **Shadow** (default) the nightly sweep computes every manufacturer's score, writes a snapshot, and shows what *would* happen — but never changes a tier or charges a badge fee. Switch to **Live** and, from the next sweep on, the recommended badge is written to the manufacturer and the badge fee applies at checkout. Fully reversible — flip back to Shadow and tiers/pricing stop moving.

Hysteresis — why standing moves slowly

Promotions require the score to *hold* for the promote-sustain window; demotions only trigger after a longer demote-miss window; and new shops get a grace period where they can't be demoted. This makes standing a stable signal, not a rollercoaster, and protects a good shop from one bad week.

Fees, and fee grace

Each badge maps to a fee in basis points (locked default: Verified 4.5% · Trusted 2.5% · Premier 0%). Separately, **Fee grace & promotions** lets you skip the fee for a window: a global toggle (every new manufacturer, for N days/months from activation) or hand-picked grants. A grant wins over the badge fee, keeps the partner at Verified, and expires on its own. Manufacturers on an active grant are skipped by auto-assignment — sitting out the engine, by design.

Appeals

A manufacturer can contest a rating from their standing page. Those land in **Rating appeals**, where you **uphold** (rating stands), **exclude** (drops from their score), or **re-attribute** (moves it to the partner actually responsible). While an appeal is open the partner's standing is frozen against demotion, so filing is always safe for them.

The simulator + a safe rollout

- 1 Leave the engine in **Shadow** and let a few nightly sweeps accumulate snapshots.
- 2 Tune the weights/gates, hit **Simulate**, and read the projected badge distribution + how many would change from today's hand-set tiers.
- 3 Confirm the fee incidence in Stripe and clear the legal re-consent for fee-by-standing.
- 4 When comfortable, switch to **Live** and Save. Watch the first sweep's assigned count.
- 5 Anything looks off — switch back to Shadow. Reversible and audited.